Morgan Stanley | RESEARCH

IDEA

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Gold Circuit Electronics Ltd. | Asia Pacific

Preliminary February profit implies upside

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WHAT'S CHANGED

Gold Circuit Electronics Ltd. (2368.TW)	From	To
Price Target	NT$950.00	**NT$1,000.00**

GCE reported preliminary February profit, per regulatory requirements by TWSE, that show upside risk to our and consensus 1Q numbers. We think this implies a better-than-expected mix and yield improvements supporting stronger margin expansion. Stay OW.

Key Takeaways

- February 2026 revenue was NT$5,942M.
- Net profit was NT$1,093M (+114% y/y), accounting for 36% of our estimate and 35% of the Street's, implying upside risk to estimates.

***See our* post 4Q result takeaways here.**

Reiterate OW, raise PT to NT$1,000 from NT$950: The increase is mainly driven by our raised EPS estimates for CY26-27, as we now factor in better yield and mix assumptions post GCE's preliminary February profit announcement. Our new price target implies 16x CY27e P/E (unchanged), which we view as fair considering GCE's up and coming capacity expansion plans and strong demand for AI server and networking PCBs, fueling margin expansion.

Exhibit 1: GCE's preliminary February 2026 profit numbers

			1Q26	
NT$ M	**Feb-26**	**y/y**	**MSe**	**Cons**
Revenue	5,942	54%	18,147	18,265
Pre-tax profit	1,604	110%	4,692	4,604
Net profit	1,093	114%	3,190	3,119
EPS (NT$)	2.14	104%	6.42	6.22
Pre-tax margin	27.0%		25.9%	25.2%
Net margin	18.4%		17.6%	17.1%

Source: Company data, Visible Alpha, Morgan Stanley Research estimates.

Gold Circuit Electronics Ltd. (2368.TW, 2368 TT)

Greater China Technology Hardware | Taiwan

Stock Rating	**Overweight**
Industry View	**In-Line**
Price target	NT$1,000.00
Up/downside to price target (%)	7
Shr price, close (Mar 13, 2026)	NT$935.00
52-Week Range	NT$965.00-142.50
Sh out, dil, curr (mn)	517
Mkt cap, curr (mn)	NT$483,033
EV, curr (mn)	NT$477,637
Avg daily trading value (mn)	NT$4,650

Fiscal Year Ending	12/24	12/25e	12/26e	12/27e
EPS (NT$)**	11.52	19.70	41.51	60.99
Prior EPS (NT$)**	-	-	40.41	59.67
EPS (NT$)§	11.75	19.10	34.31	52.71
Revenue, net (NT$ mn)	38,952	60,004	96,555	124,544
EBITDA (NT$ mn)	9,156	15,132	31,043	45,595
P/E	21.0	34.9	22.5	15.3
P/BV	5.5	11.8	10.5	7.3
RNOA (%)	63.8	74.6	102.6	106.1
ROE (%)	33.4	45.1	71.5	68.3
EV/EBITDA	12.2	21.8	15.2	10.1
Div yld (%)	1.4	0.9	1.1	2.3
FCF yld ratio (%)**	0.3	0.5	2.3	5.2
Leverage (EOP) (%)	(29.3)	(19.0)	(24.9)	(38.1)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

Catalyst Event Reaction

Company / Catalyst	Date	Impact to thesis	Catalyst versus expectation
Gold Circuit Electronics Ltd. 2368.TW			
Preliminary February Profit Announcement	13 Mar 26	Strengthens	⬆ Modest upside surprise

Source:Company data, Morgan Stanley Research

Risk Reward – Gold Circuit Electronics Ltd. (2368.TW)

Beneficiary of rising AI server penetration and server/switch PCB upgrade; OW

PRICE TARGET NT$1,000.00

Base case, residual income model. Key assumptions include a cost of equity of 9.2% (beta of 1.0, equity risk premium of 8.7% and risk-free rate of 1.0%), a medium-term growth rate of 11% and a terminal growth rate of 3%.

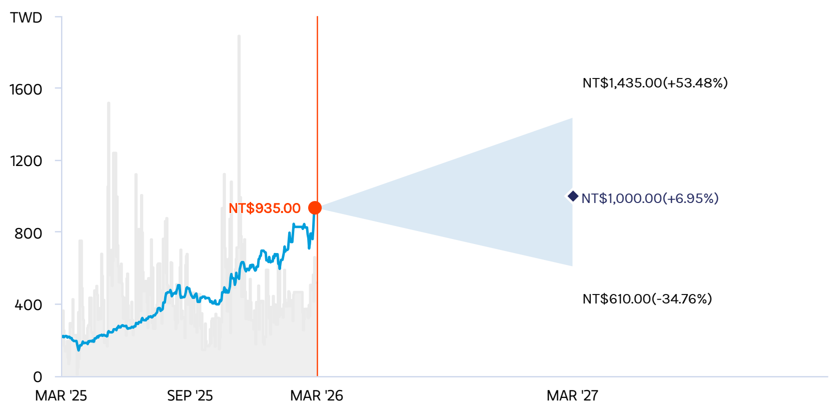
Consensus Price Target Distribution NT$750.00

NT$1,100.00

Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- We stay OW because we think GCE is well positioned to benefit from rising demand for AI server PCBs and high-speed networking PCBs.
- We see 400G/800G networking PCB demand increasing in the coming years, which should be a tailwind for gross margin in the longer term.
- Our price target implies ~24x 2026e P/E or ~16x 2027e P/E vs. GCE's 3Y historical range of 7x to 21x, which we still find attractive. GCE is benefiting from a favorable mix and should show margin expansion in the coming years.

Consensus Rating Distribution

100%	Overweight
0%	Equal-weight
0%	Underweight

● MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era:	*Positive*
Secular Growth:	*Positive*

View descriptions of Risk Rewards Themes here

BULL CASE NT$1,435.00

35x 2026e EPS

Much stronger server and switch growth in 2026; NB demand continues to grow y/y; gains more traction for IC testing boards: Server and switch demand continues to grow y/y in 2026, driven by new data center construction and replacements along with AI infrastructure build-outs. NB demand also shows y/y growth in 2026. In addition, GCE gains more traction for IC testing boards, even penetrating into probe card PCBs faster than expected.

BASE CASE NT$1,000.00

24x 2026e P/E

Server demand remains on growth track in 2026; NB demand shows flat to mild growth: We forecast a total sales CAGR of 47%, 2024-27, with server business CAGR reaching 50% and networking business CAGR reaching 68%. We project that operating profit margin will reach ~40% in 2027 vs. ~21% in 2024.

BEAR CASE NT$610.00

15x 2026e EPS

Much weaker server and switch demand in 2026; NB demand deteriorates, and shipments fall y/y in 2026; IC testing board business takes longer than expected to develop: Server and switch demand falls in 2026, hampered by a weakening macro backdrop and hyperscalers cutting capex to preserve cash. NB business faces even weaker demand, at down ~15% y/y in 2026. GCE takes longer to ramp up its IC testing board business.

Risk Reward – Gold Circuit Electronics Ltd. (2368.TW)

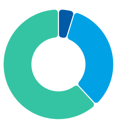
KEY EARNINGS INPUTS

Drivers	2024	2025e	2026e	2027e
Server Revenue Contribution (%)	68.5	74.3	70.0	71.9

INVESTMENT DRIVERS

- Server/switch volume growth driven by US hyperscalers and enterprise customers
- Server/switch PCB content growth driven by CCL spec and PCB layer count
- IC testing board project wins
- NB demand

GLOBAL REVENUE EXPOSURE



- 0-10% North America
- 30-40% Mainland China
- 60-70% APAC, ex Japan, Mainland China and India

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

3/5 MOST	3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster-than-expected server and switch demand
- Stronger-than-expected NB demand
- Higher-than-expected pricing supported by strong product capability and market competitiveness
- Faster-than-expected AI server penetration

RISKS TO DOWNSIDE

- Slower-than-expected server demand
- Weaker-than-expected NB demand
- More severe pricing erosion driven by competition
- Slower-than-expected AI server penetration

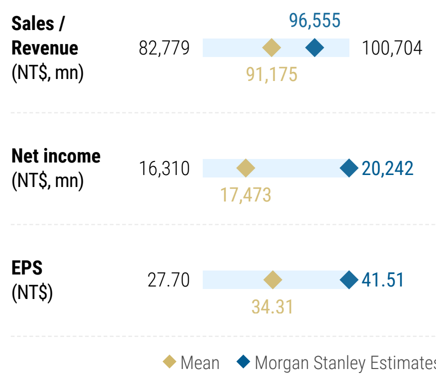
OWNERSHIP POSITIONING

Inst. Owners, % Active 56.6%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



Source: Refinitiv, Morgan Stanley Research

4Q25P Results Recap

4Q GM beat on improving yield rates of 800G networking PCBs and robust 400G/800G networking demand: 4Q GM was 33.7% (-190bps q/q, +770bps y/y), 130/70bps above MSe/Street, driven by higher 400G/800G networking mix and improving yield rates of 800G networking PCBs, despite lower AI server mix in 4Q. OP came in at NT$4.0bn (-14% q/q, +144% y/y), 8%/3% above MSe/Street, for OpM of 24.3% (-200bps q/q). Non-op income was slightly higher than MSe and the Street, so NP came in at NT$2.9bn (-9% q/q, +129% y/y), 14%/10% above MSe/Street, for EPS of NT$5.89.

Exhibit 2: 4Q25P Results Summary

	4Q25P Results						
NT$mn	**Actual**	**QoQ**	**YoY**	**MS Est.**	**Variance**	**Cons**	**Variance**
Net sales	**16,408**	**-7%**	**66%**	**16,326**	**1%**	**16,644**	**-1%**
COGS	-10,884	-4%	49%	-11,049	-1%	-11,157	-2%
Gross profit	**5,524**	**-12%**	**116%**	**5,277**	**5%**	**5,488**	**1%**
Operating expenses	-1,537	-6%	67%	-1,593	-4%	-1,602	-4%
Operating income	**3,987**	**-14%**	**144%**	**3,684**	**8%**	**3,886**	**3%**
Non-operating income	295	253%	-18%	46	542%	33	800%
Pre-tax income	**4,282**	**-9%**	**114%**	**3,730**	**15%**	**3,919**	**9%**
Income tax	-1,351	-10%	89%	-1,156	17%	-1,259	7%
Net income	**2,931**	**-9%**	**129%**	**2,574**	**14%**	**2,660**	**10%**
EPS (NT$)	**5.89**	**-9%**	**124%**	**5.18**	**14%**	**5.35**	**10%**
Margins (%)		***ppt***	***ppt***		***ppt***		***ppt***
Gross margin	33.7%	-1.9	7.7	32.3%	1.3	33.0%	0.7
Operating margin	24.3%	-2.0	7.7	22.6%	1.7	23.3%	0.9
Pre-tax margin	26.1%	-0.7	5.8	22.8%	3.2	23.5%	2.6
Net margin	17.9%	-0.4	4.9	15.8%	2.1	16.0%	1.9

Source: Company data, Visible Alpha, Morgan Stanley Research estimates.

Estimate Changes

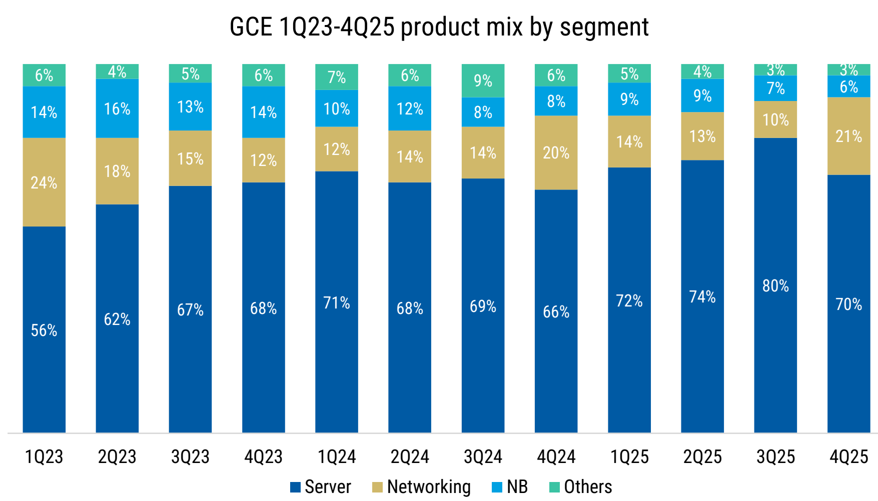
We raise our CY26 and CY27 earnings estimates by 3% and 2%, respectively, driven by our better yield and mix assumptions post GCE's preliminary February profit announcement. Our CY25 earnings estimate is unchanged.

Exhibit 3: Estimate changes

	2025e			2026e			2027e		
NT$ mn	New	Old	Variance	New	Old	Variance	New	Old	Variance
Net sales	**60,004**	**60,004**	**0%**	**96,555**	**96,368**	**0%**	**124,544**	**124,544**	**0%**
COGS	-40,321	-40,321	0%	-60,143	-60,472	-1%	-73,855	-74,443	-1%
Gross profit	**19,683**	**19,683**	**0%**	**36,412**	**35,896**	**1%**	**50,689**	**50,101**	**1%**
Operating expenses	-5,640	-5,640	0%	-7,009	-7,278	-4%	-7,278	-7,634	-5%
Operating income	14,043	14,043	0%	29,403	28,618	3%	43,411	42,468	2%
Non-operating income	130	130	0%	185	185	0%	185	185	0%
Pre-tax income	14,173	14,173	0%	29,588	28,802	3%	43,595	42,652	2%
Income tax	-4,567	-4,567	0%	-9,346	-9,097	3%	-13,856	-13,556	2%
Net income	**9,607**	**9,607**	**0%**	**20,242**	**19,705**	**3%**	**29,739**	**29,096**	**2%**
EPS (NT$)	**19.70**	**19.70**	**0%**	**41.51**	**40.41**	**3%**	**60.99**	**59.67**	**2%**
Margins (%)			***ppt***			***ppt***			***ppt***
Gross margin	32.8%	32.8%	0.0	37.7%	37.2%	0.5	40.7%	40.2%	0.5
Operating margin	23.4%	23.4%	0.0	30.5%	29.7%	0.8	34.9%	34.1%	0.8
Pre-tax margin	23.6%	23.6%	0.0	30.6%	29.9%	0.8	35.0%	34.2%	0.8
Net margin	16.0%	16.0%	0.0	21.0%	20.4%	0.5	23.9%	23.4%	0.5

Source: Morgan Stanley Research (E) estimates.

Exhibit 4: Gold Circuit's product mix, 1Q23-4Q25



Source: Company data, Morgan Stanley Research.

Price Target Discussion and Valuation Methodology

We raise our price target to NT$1,000 (from NT$950): We derive our price target, which is also our base- case scenario value, from a residual income (RI) model, similar to the rest of our tech hardware coverage. The increase in our price target is driven by our higher earnings estimates.

Our key assumptions (all unchanged) include a cost of equity of 9.2% (beta of 1.0, equity risk premium of 8.7% and risk-free rate of 1.0%), a medium-term growth rate of 11% and a terminal growth rate of 3%.

Our price target implies 24.0x 2026e P/E (0.22x PEG) or 16.4x 2027e P/E (0.35x PEG) vs. GCE's three-year historical average +1SD of 17.1x. We view the higher multiple as justified, as GCE is showing longer-term margin expansion, driven by a favorable mix shift toward more AI server PCBs and high-speed networking PCBs (400G/800G) alike. Some of its AI component peers are trading at 25x+ 2026 multiple, which leads us to view GCE's valuation as fair.

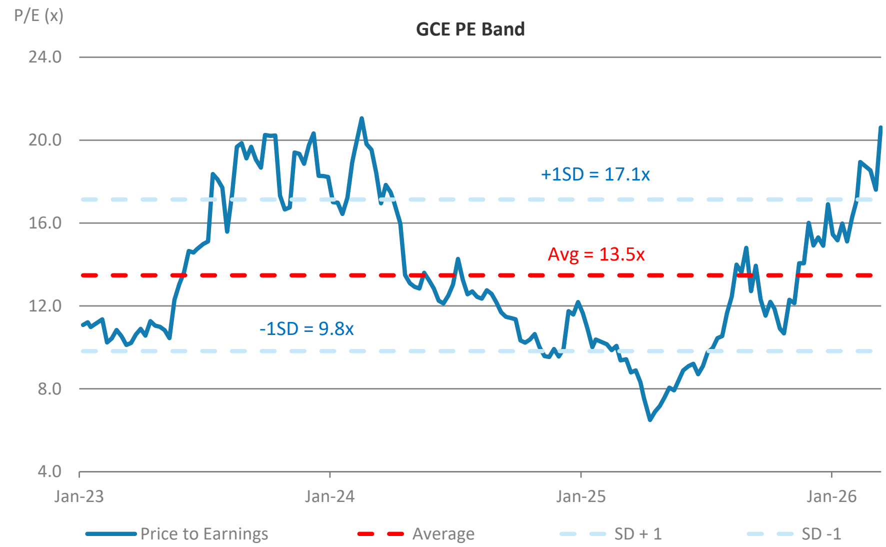
Our bull and bear case scenario values increase by similar magnitudes as our base case value, to NT$1,435 and NT$610, respectively.

Exhibit 5: Residual income (RI) model

		2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2035E
Total Equity		**43,564**	**62,757**	**82,974**	**105,414**	**130,323**	**157,972**	**188,662**	**222,728**	**260,542**	**302,515**	**343,622**
Net Profit		**20,242**	**29,739**	**33,010**	**36,642**	**40,672**	**45,146**	**50,112**	**55,624**	**61,743**	**68,535**	**70,591**
Return on Equity		**56.3%**	**55.9%**	**45.3%**	**38.9%**	**34.5%**	**31.3%**	**28.9%**	**27.0%**	**25.6%**	**24.3%**	**21.9%**
Beta	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
Equity Risk Premium (Rm-Rf)	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%
Risk Free Rate (Rf)	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%
Cost of Equity	9.2%	9.2%	9.2%	9.2%	9.2%	9.2%	9.2%	9.2%	9.2%	9.2%	9.2%	9.2%
Residual Income		**13,341**	**20,355**	**22,646**	**24,629**	**26,658**	**28,804**	**31,114**	**33,628**	**36,382**	**39,410**	**38,216**
Spread		**47.1%**	**46.7%**	**36.1%**	**29.7%**	**25.3%**	**22.1%**	**19.7%**	**17.8%**	**16.3%**	**15.1%**	**12.6%**
Beginning Equity Capital		43,564										
PV of Forecast Period		181,887										
PV of Continuing Value		262,144										
Equity Value		**487,594**										
No. of Shares		488										
Projected Price		**1,000.0**										
Implied 2026 PE		24.1x										

Source: Morgan Stanley Research (E) estimates.

Exhibit 6: GCE three-year P/E band



Source: TEJ, Morgan Stanley Research.

Financials

Exhibit 7: Quarterly Earnings Estimates

	1Q25	2Q25	3Q25	4Q25P	1Q26E	2Q26E	3Q26E	4Q26E	2024	2025E	2026E	2027E
Net sales	**12,063**	**13,853**	**17,680**	**16,408**	**18,147**	**22,040**	**27,624**	**28,744**	**38,952**	**60,004**	**96,555**	**124,544**
COGS	(8,287)	(9,757)	(11,392)	(10,884)	(11,897)	(14,052)	(16,887)	(17,307)	(27,556)	(40,321)	(60,143)	(73,855)
Gross profit	**3,776**	**4,095**	**6,288**	**5,524**	**6,250**	**7,988**	**10,737**	**11,437**	**11,396**	**19,683**	**36,412**	**50,689**
Operating expenses	(1,233)	(1,228)	(1,642)	(1,537)	(1,604)	(1,713)	(1,843)	(1,848)	(3,329)	(5,640)	(7,009)	(7,278)
SG&A	(958)	(932)	(1,309)	(1,254)	(1,312)	(1,416)	(1,539)	(1,539)	(2,355)	(4,452)	(5,805)	(6,013)
R&D	(274)	(296)	(333)	(284)	(292)	(298)	(304)	(310)	(974)	(1,187)	(1,204)	(1,265)
Operating income	**2,543**	**2,868**	**4,646**	**3,987**	**4,646**	**6,275**	**8,894**	**9,589**	**8,067**	**14,043**	**29,403**	**43,411**
Non-operating income	**110**	**(359)**	**84**	**295**	**46**	**46**	**46**	**46**	**423**	**130**	**185**	**185**
Interest income	17	28	6	6	6	6	6	6	78	57	25	25
Investment income	0	0	0	0	0	0	0	0	0	0	0	0
Disposal of investment	0	0	0	0	0	0	0	0	0	0	0	0
Exchange gain	112	(797)	309	0	0	0	0	0	462	(375)	0	0
Other	(19)	411	(232)	289	40	40	40	40	(117)	449	160	160
Pre-tax income	**2,653**	**2,509**	**4,729**	**4,282**	**4,692**	**6,321**	**8,940**	**9,635**	**8,490**	**14,173**	**29,588**	**43,595**
Income tax	(900)	(815)	(1,501)	(1,351)	(1,501)	(2,086)	(2,771)	(2,987)	(2,875)	(4,567)	(9,346)	(13,856)
Minority interest	0	0	0	0	0	0	0	0	0	0	0	0
Net income	**1,753**	**1,694**	**3,229**	**2,931**	**3,190**	**4,235**	**6,169**	**6,648**	**5,616**	**9,607**	**20,242**	**29,739**
Adj.wtd.avg.shrs (mn)	487	487	497	497	497	497	497	497	488	488	488	488
EPS	**3.60**	**3.48**	**6.49**	**5.89**	**6.42**	**8.52**	**12.41**	**13.37**	**11.52**	**19.70**	**41.51**	**60.99**
Fully Diluted shares (mn)	487	487	497	497	497	497	497	497	488	488	488	488
Diluted EPS (NT$)	**3.60**	**3.48**	**6.49**	**5.89**	**6.42**	**8.52**	**12.41**	**13.37**	**11.52**	**19.70**	**41.51**	**60.99**
Margins (%)												
Gross Margin	31.3	29.6	35.6	33.7	34.4	36.2	38.9	39.8	29.3	32.8	37.7	40.7
Operating Margin	21.1	20.7	26.3	24.3	25.6	28.5	32.2	33.4	20.7	23.4	30.5	34.9
Pretax Margin	22.0	18.1	26.8	26.1	25.9	28.7	32.4	33.5	21.8	23.6	30.6	35.0
Net Margin	14.5	12.2	18.3	17.9	17.6	19.2	22.3	23.1	14.4	16.0	21.0	23.9
QoQ Growth (%)												
Sales	22	15	28	-7	11	21	25	4				
Gross Profit	48	8	54	-12	13	28	34	7				
Operating Profit	55	13	62	-14	17	35	42	8				
Pretax Profit	33	-5	89	-9	10	35	41	8				
Net Profit	37	-3	91	-9	9	33	46	8				
YoY Growth (%)												
Sales	33	45	69	66	50	59	56	75	30	54	61	29
Gross Profit	55	35	86	116	66	95	71	107	48	73	85	39
Operating Profit	47	30	85	144	83	119	91	141	57	74	109	48
Pretax Profit	44	9	101	114	77	152	89	125	63	67	109	47
Net Profit	44	11	102	129	82	150	91	127	59	71	111	47

Source: Company data, Morgan Stanley Research (E) estimates.

Exhibit 8: Consolidated Financial Summary

Consolidated Income Statement

NT$mn (Year End Dec 31)	2024	2025E	2026E	2027E
Net sales	**38,952**	**60,004**	**96,555**	**124,544**
COGS	(27,556)	(40,321)	(60,143)	(73,855)
Gross profit	**11,396**	**19,683**	**36,412**	**50,689**
Operating expenses	(3,329)	(5,640)	(7,009)	(7,278)
Operating income	**8,067**	**14,043**	**29,403**	**43,411**
Non-operating income	**423**	**130**	**185**	**185**
Interest income	78	57	25	25
Investment income	-	-	-	-
Disposal of investment	-	-	-	-
Exchange gain	462	(375)	-	-
Other	(117)	449	160	160
Pre-tax income	**8,490**	**14,173**	**29,588**	**43,595**
Income tax	(2,875)	(4,567)	(9,346)	(13,856)
Minority interests	-	-	-	-
Net income	**5,616**	**9,607**	**20,242**	**29,739**
Adj. wtd. Avg. shrs (m)	488	488	488	488
Reported EPS (NT$)	**11.52**	**19.70**	**41.51**	**60.99**
Diluted shrs (m)	488	488	488	488
Diluted EPS (NT$)	**11.52**	**19.70**	**41.51**	**60.99**

Consolidated Cash Flow Statement

NT$mn (Year End Dec 31)	2024	2025E	2026E	2027E
Operating Cashflow	**5,625**	**5,862**	**12,951**	**24,747**
Net Profits	5,616	9,607	20,242	29,739
Depreciation & Amort.	1,089	1,089	1,640	2,185
Investment losses/(income)	0	0	0	0
Working capital change	(6,844)	(4,303)	(8,010)	(6,471)
Other adjustments	5,577	(531)	(921)	(705)
Investing Cashflow	**(5,205)**	**(6,977)**	**(7,464)**	**(4,953)**
Capex	(5,131)	(7,000)	(7,500)	(5,000)
Change of L/T investment	0	0	0	0
Change of S/T investment	0	0	0	0
Other adjustments	(88)	0	0	0
Financing Cashflow	**323**	**340**	**407**	**(6,296)**
Increase in L/T debt	990	450	450	450
Increase in S/T debt	1,054	0	0	0
Issuance of stock	0	(42)	0	0
Cash dividends	(1,703)	(2,926)	(5,005)	(10,546)
Other adjustments	(18)	2,858	4,962	3,799
FX adjustment	700	375	0	0
Net change in cash	**1,444**	**(400)**	**5,894**	**13,498**

Consolidated Balance Sheet

NT$mn (Year End Dec 31)	2024	2025E	2026E	2027E
Cash	**9,185**	**8,784**	**14,679**	**28,176**
Mkt securities	6	6	6	6
AR/NR	13,401	20,644	33,220	42,849
Inventory	7,900	11,560	17,243	21,174
Others	982	1,512	2,433	3,139
Current Assets	**31,474**	**42,507**	**67,581**	**95,345**
Long-term investments	799	799	799	799
Fixed assets	11,635	17,524	23,348	26,116
Other assets	677	677	677	677
Total Assets	**44,584**	**61,506**	**92,404**	**122,937**
S/T borrowings	2,722	2,722	2,722	2,722
AP/NP	8,268	12,098	18,046	22,160
Other ST liabilities	5,979	8,749	13,051	16,026
Total Current Liabilities	**16,969**	**23,569**	**33,818**	**40,908**
L/T debt	1,015	1,465	1,915	2,365
Other LT libilities	5,288	8,146	13,108	16,907
Total Liabilities	**23,272**	**33,180**	**48,841**	**60,180**
Common shares	4,918	4,876	4,876	4,876
Retained Earnings	12,981	20,037	35,275	54,468
Other SH' Equity	3,413	3,413	3,413	3,413
Total Shareholders' Equity	**21,312**	**28,326**	**43,564**	**62,757**
Total Liab./SH's Equity	**44,584**	**61,506**	**92,404**	**122,937**

Consolidated Financial Ratios

	2024	2025E	2026E	2027E
Margins (%)				
Gross margin	29.3	32.8	37.7	40.7
Operating margin	20.7	23.4	30.5	34.9
Pretax margin	21.8	23.6	30.6	35.0
Net margin	14.4	16.0	21.0	23.9
YoY growth (%)				
Sales	29.6	54.0	60.9	29.0
Operating profits	57.1	74.1	109.4	47.6
Pretax profits	62.7	66.9	108.8	47.3
Net profits	59.1	71.1	110.7	46.9
Others				
Cash dividend payout (%)	52%	52%	52%	52%
Cash div (NT$)	6.00	10.26	21.63	31.77
Yield (%)	1%	1%	2%	3%
Net Debt/Equity (%)	-26%	-16%	-23%	-37%
Liabilities/Equity (%)	109%	117%	112%	96%
Liabilities/Assets (%)	52%	54%	53%	49%
ROAE (%)	29%	39%	56%	56%
ROAA (%)	14%	18%	26%	28%
AR/NR Turnover (days)	113	104	102	111
Inventory Turnover (days)	92	88	87	95
AP/NP Turnover (days)	95	92	91	99
Cash conversion cycle	110	99	98	107

Source: Company data, Morgan Stanley Research (E) estimates.

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - Options_Probabilities_Exhibit_Link.pdf

2. View descriptions of Risk Rewards Themes - RR_Themes_Exhibit_Link.pdf

3. View explanation of regional hierarchies - GEG_Exhibit_Link.pdf

4. View explanation of Theme/Exposure methodology - ESG_Sustainable_Solutions_External_Link.pdf

5. View explanation of HERS methodology - ESG_HERS_External_Link.pdf

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(as of February 28, 2026)
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Not-Rated/Hold	4	0%	1	0%	25%	1	0%
Underweight/Sell	588	16%	87	10%	15%	220	13%
Total	3,710		906			1636	

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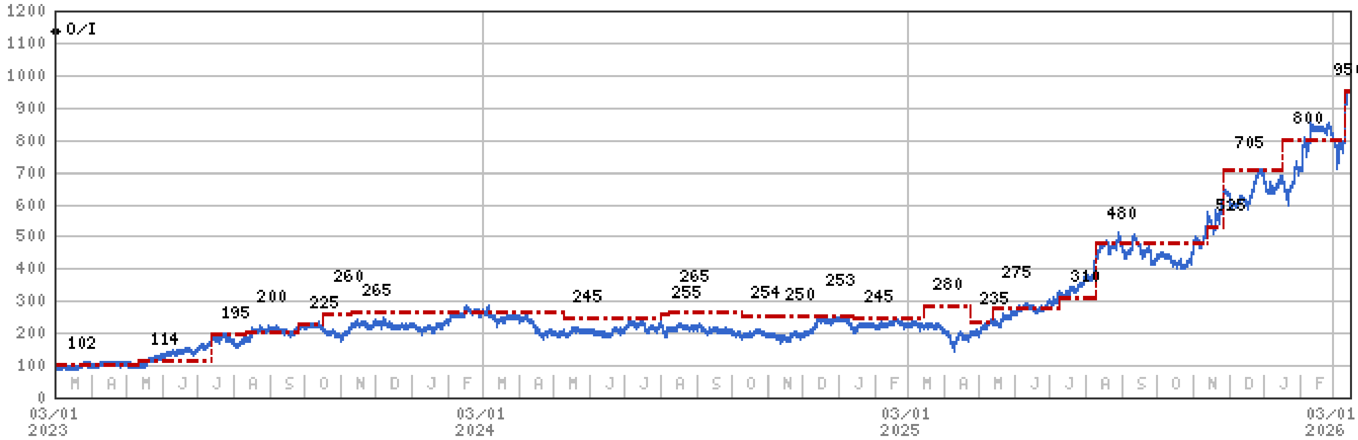
Stock Price, Price Target and Rating History (See Rating Definitions)

Gold Circuit Electronics Ltd. (2368.TW) - As of 03/15/26 GMT in TWD
Industry : Greater China Technology Hardware



Stock Rating History: 3/1/21 : /I; 10/6/22 : O/I

Price Target History: 10/6/22 : 115; 10/21/22 : 110; 1/2/23 : 108; 2/7/23 : 102; 5/12/23 : 114; 7/12/23 : 195; 8/11/23 : 200; 9/25/23 : 225; 10/17/23 : 260; 11/9/23 : 265; 5/9/24 : 245; 8/1/24 : 255; 8/8/24 : 265; 10/9/24 : 254; 11/7/24 : 250; 12/12/24 : 253; 1/13/25 : 245; 3/14/25 : 280; 4/23/25 : 235; 5/12/25 : 275; 7/9/25 : 310; 8/9/25 : 480; 11/12/25 : 525; 11/27/25 : 705; 1/16/26 : 800; 3/11/26 : 950

Source: Morgan Stanley Research   Date Format : MM/DD/YY   Price Target   No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst)   Stock Price (Covered by Current Analyst)
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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (03/13/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK$32.28
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb88.94
BYD Electronics (0285.HK)	O (04/28/2023)	HK$30.18
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb10.58
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb18.07
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb394.03
Genius Electronic Optical Co. Ltd. (3406.TW)	E (04/23/2025)	NT$429.50
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb5.69
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb31.94
Largan Precision (3008.TW)	E (10/17/2025)	NT$2,345.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb10.27
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb9.68
Q Technology (Group) Company Ltd (1478.HK)	E (11/10/2023)	HK$8.81
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb78.98
Shanghai Conant Optical Co Ltd (2276.HK)	E (09/11/2025)	HK$55.60
Shenzhen Transsion Holdings Co Ltd (688036.SS)	O (10/24/2023)	Rmb57.99
Sunny Optical (2382.HK)	O (07/10/2025)	HK$56.40
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb325.00
Wingtech Technology Co Ltd (600745.SS)	E (11/10/2023)	Rmb33.11
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK$33.32
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb241.90
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	E (04/20/2023)	HK$159.00
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb115.88
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb27.62
Zhongji Innolight Co Ltd (300308.SZ)	O (11/06/2023)	Rmb542.02
ZTE Corporation (0763.HK)	E (03/11/2024)	HK$24.98

ZTE Corporation (000063.SZ)	U (07/02/2021)	Rmb36.46
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT$1,420.00
Advantech (2395.TW)	O (01/20/2021)	NT$342.50
AirTAC International (1590.TW)	O (04/16/2025)	NT$1,020.00
AU Optronics (2409.TW)	E (02/10/2026)	NT$16.55
Bizlink (3665.TW)	O (03/10/2025)	NT$1,590.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb4.36
BOE Varitronix Ltd (0710.HK)	O (06/20/2023)	HK$4.42
Chenbro (8210.TW)	O (07/23/2025)	NT$894.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT$1,530.00
E Ink Holdings Inc. (8069.TWO)	E (01/07/2026)	NT$152.50
Ennostar Inc (3714.TW)	U (09/23/2022)	NT$42.75
Hiwin Technologies Corp. (2049.TW)	E (02/27/2026)	NT$238.50
Innolux (3481.TW)	E (04/07/2025)	NT$29.70
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT$3,365.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb31.51
Radiant Opto-Electronics Corporation (6176.TW)	E (03/01/2024)	NT$97.00
Sanan Optoelectronics (600703.SS)	U (08/21/2023)	Rmb18.14
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.83
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb9.39
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb134.90
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT$27.35
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT$589.00
Compal Electronics (2324.TW)	U (04/23/2025)	NT$32.20
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK$5.46
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT$233.00
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT$935.00
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb61.79
Lenovo (0992.HK)	E (11/16/2025)	HK$9.37
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT$1,750.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT$515.00
Pegatron Corporation (4938.TW)	U (11/16/2025)	NT$75.80
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT$289.00
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb63.44
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb250.23
Unimicron (3037.TW)	O (02/23/2026)	NT$508.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT$134.00
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT$4,070.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT$258.00
Zhen Ding (4958.TW)	E (08/02/2022)	NT$188.50
Sharon Shih		
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT$1,865.00
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT$1,055.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT$185.50
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT$1,385.00
Fositek Corp (6805.TW)	O (06/25/2025)	NT$1,755.00
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb52.49
Foxconn Technology (2354.TW)	U (04/23/2025)	NT$53.70
GoerTek Inc (002241.SZ)	U (04/23/2025)	Rmb25.19
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT$214.50
LandMark Optoelectronics Corporation (3081.TWO)	O (01/19/2026)	NT$1,485.00
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb14.36
Lite-On Technology (2301.TW)	E (01/15/2025)	NT$167.00

Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb49.33
Sunonwealth Electric Machine Industry Co (2421.TW)	E (02/23/2024)	NT$144.50
Tong Hsing (6271.TW)	E (03/18/2019)	NT$150.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT$237.50

Stock Ratings are subject to change. Please see latest research for each company.
* Historical prices are not split adjusted.